Cover letter draft

Dear Editors,

Please consider my research article, "Selected Experience and Rare-Event Risk: Endogenous Observation, Subjective Transformation, and Reputation under Hidden Counterfactuals," for publication in *Journal of Risk and Uncertainty*.

The paper studies how economic inference and model-implied quotes are shaped when the histories people price from are selectively generated. When participation and observation depend on the same risk state that generates outcomes, experienced frequencies diverge from objective risk; subjective transformation of that selected experience and history-dependent reputation then determine what a posted quote encodes. I formalize this separation analytically and quantify it in a generic simulation and a controlled known-zero benchmark.

The building blocks are established, and the paper presents them as such: endogenous sampling biases experience-based estimates, the selected/unselected risk ratio is a standard selection identity (one plus a scaled covariance between state risk and the observation weight), and the divergence of the transformed relative term is a known property of the Prelec function. The incremental contributions are four. First, a simple comparative static: under multiplicative state risk the selection ratio does not depend on baseline rarity, while the absolute gap shrinks with it. Second, an accounting decomposition of a reduced-form quote into objective, experienced, subjective, and reputation layers, with every layer measured relative to objective risk. Third, a simulated stock–flow decoupling: reputation premia coexist with weak or negative contemporaneous price–success differences—including negative mean contemporaneous price-success differences in the controlled benchmark—so the sign of the price-performance correlation is not a test of whether pricing works. Fourth, a first-moment equivalence: in several

simulated rare regimes, zero-efficacy endogenous selection reproduces the mean apparent performance of positive efficacy under exogenous observation.

The quote rule is given an explicit reduced-form interpretation—a share of perceived gross surplus plus a separable reputation component—with no equilibrium, bargaining, or welfare-optimality claim. As supporting evidence, a known-zero-effect benchmark places fictional rainmaking pseudo-events over 8 archived region-days of observed rainfall: selection and timing alone generate elevated apparent success under exactly zero causal efficacy. The pricing and reputation overlay on that benchmark is a calibrated model result, not observed market pricing, estimated willingness to pay, or human probability weighting; the paper contains no human-subject or market transaction data and makes no claim to estimate behavior.

The paper fits the *Journal of Risk and Uncertainty* because it is about decision making under uncertainty when the counterfactual is hidden: how endogenous observation changes experienced risk, how subjective probability transformation and reputation act on that selected experience, and what can and cannot be inferred about underlying efficacy from the resulting record. It builds on work on decisions from experience and low-probability risk, including work published in this journal.

[AUTHOR CONFIRMATION REQUIRED: The manuscript is original and is not under consideration elsewhere.] It uses no human participants or confidential data. All code, acquisition records, checksums, machine-readable results, and reproducibility materials are available through the accompanying public repository. ERA5 rainfall data are not redistributed but can be re-acquired through the public Open-Meteo archive with the recorded requests.

[AUTHOR INPUT REQUIRED: corresponding author name, affiliation, contact details, funding, competing interests, acknowledgements, and any suggested reviewers.]

Sincerely,

[AUTHOR INPUT REQUIRED]